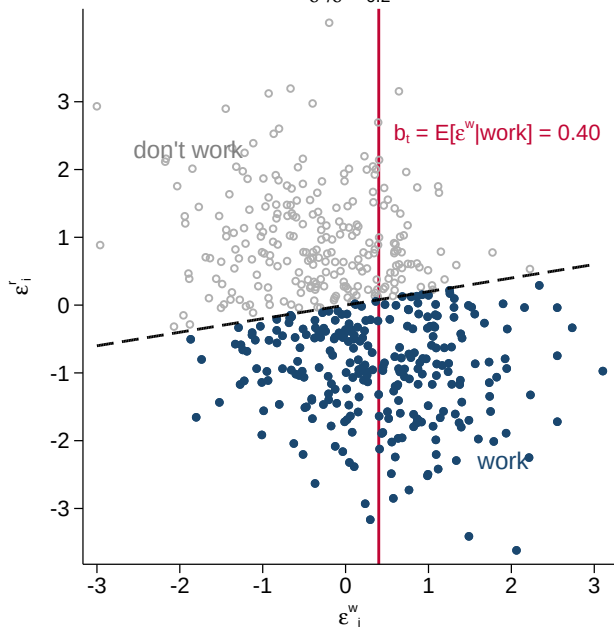


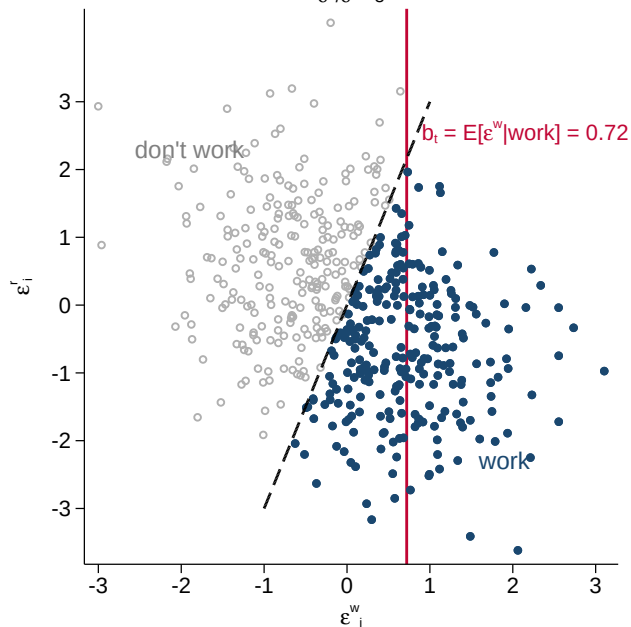
Panel A: low σ^w

$$\sigma^w/\sigma^r = 0.2$$



Panel B: high σ^w

$$\sigma^w/\sigma^r = 3$$



Simulated draws, $\rho = \text{Cov}(\varepsilon^r, \varepsilon^w) = -0.5$.

Dashed line: participation frontier $\varepsilon^r = (\sigma^w/\sigma^r)\varepsilon^w$. Women work below it (solid dots).

Vertical line: mean wage draw among participants. Participation rate is 0.5 in both panels.